

I'm just trying to show you that looking at outlier cases and making ignorant clichés to justify a 7-figure decision isn't the way forward. Renting is not money down the drain. In fact, renting is segregating money flow, while allocating the least gravy flow toward the drain.

Assumption #2: Buying is always better than Renting

Here's the symphony of thoughts that lead to this cliché:

- Renting means always giving money away
- If you're buying, then the loan will end within 15-20 years
- Fewer payments and a tangible asset in hand makes buying better any day

Right off the bat, let's get the mother of all lies upfront. When you're done with mortgage, your expenses don't stop like a hand-brake. Miscellaneous expenses occur at such an alarming regularity that makes you wish you never bought the home in the first place.

When you finish paying off the loan, it means that you're done with principal and interest. Other expenses occur at regular intervals that you wouldn't incur if you were renting. Expenses such as:

- ★ Maintenance (*a 20-year-old flat needs a couple of white-washes; have you looked up the Asian paints catalogue? Great business, skyrocketing prices*)
- ★ Repairs (*20 years old = leaks, plumbing issues and clogged drainage. Add re-doing the kitchen, new furniture and electronic accessories into the mix*)
- ★ Property taxes
- ★ Homeowner insurance
- ★ Municipal bills (water, sewer etc.)

To profit from the home as an investment, we have to sell the home and move on. In that case, there are transactional costs, broker fees, etc.

Transaction fees, closing fees, broker commissions: total costs usually amount to 5L ^[24] .